NANYANG TECHNOLOGICAL UNIVERSITY SINGAPORE

Week 3 – Major Shipping Markets and Cycles





Prepared by Dr. Kelvin Pang

27 August 2026

Learning Objectives

1. Discuss the relationships between the four shipping markets.
2. Discuss the four types of charters in the freight market.
3. Explain what is a market cycle.
4. Discuss the four stages of the shipping cycle.

1. Introduction

1. Introduction

Markets play a big part in the operation of international sea transport business.

"the central point of a market is the central exchange, mart or auction rooms where traders agree to meet and transact business…traders may be spread over a whole town, region or country and yet make a market if they are…in close communication with each other."

Jevons (1871)

1. Introduction



2. Four Shipping Markets

Reading: Week 3 – Major Shipping Markets and Cycles (Additional Notes – Page 1)

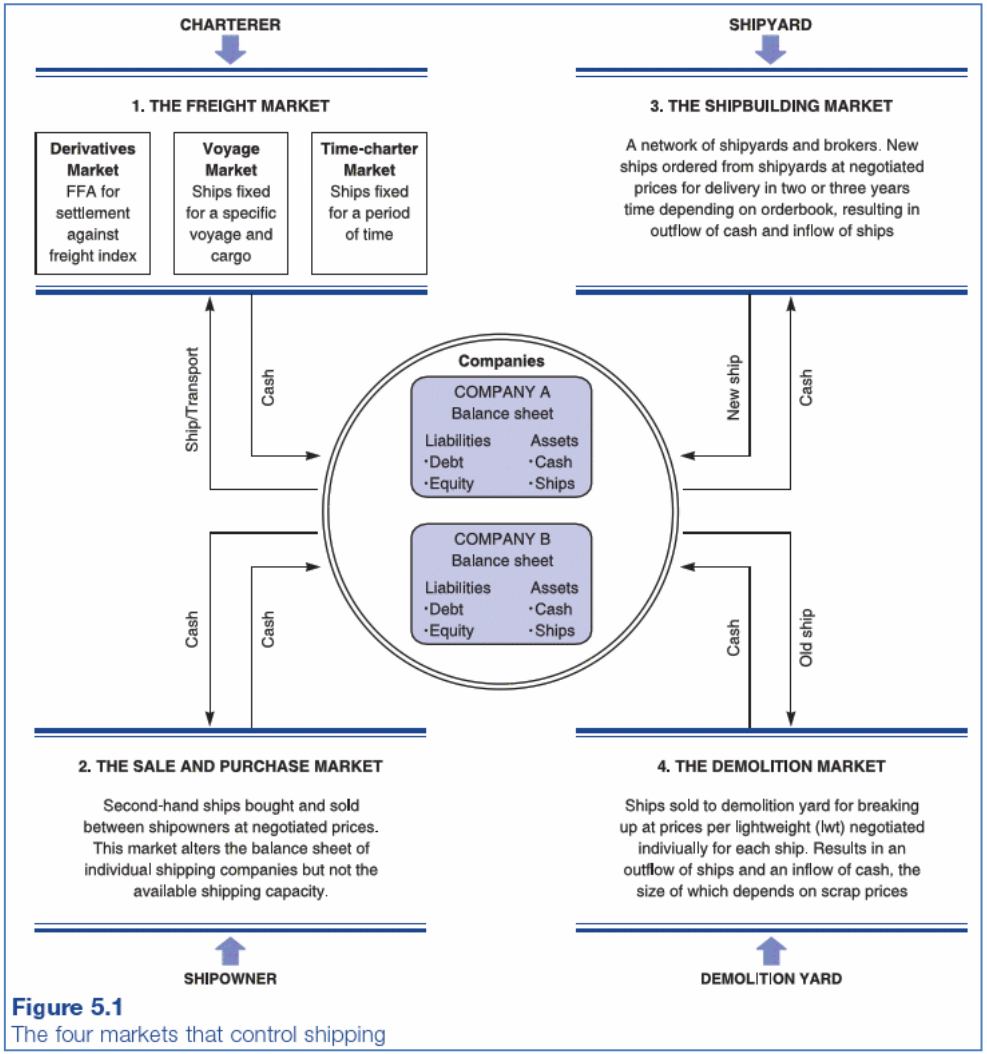


Figure 5.1
The four markets that control shipping

LO1

2. Four Shipping Markets

- When freight rates rise or fall, the changing sentiments ripples through into the three other markets.
- Focal point is the industry's balance sheet – individual company's balance sheets.
- _____ market (market 1) provides freight revenue – the main source of cash for shipping companies.
- The other cash inflow comes from the _____ market (market 4).

2. Four Shipping Markets

- In the _____ market (market 2), transactions does not affect the amount of cash held by the industry.
- In the _____ market (market 3) cash flows out of the industry as shipyards pay for materials, labour and profit.
- These waves of cash flowing between the four markets drive the shipping market cycle.

The Freight Market

D&S ->
Freight rate



Freight
Earnings

Shippers with cargo

Shipowners with
ships for hire

The Demolition Market

Scrap
Revenue



Scrapyard

D&S ->
scrap price

Shipowners
(Demolition sales)

**Shipping
cash flow**

Shipowners
(Buyers)

D&S ->
Second
hand price



The Sale and Purchase Market

Shipowners
(Sellers)

Shipowners
(Pay Shipyard)

Shipowners
(Newbuilding order)

D&S ->
new price

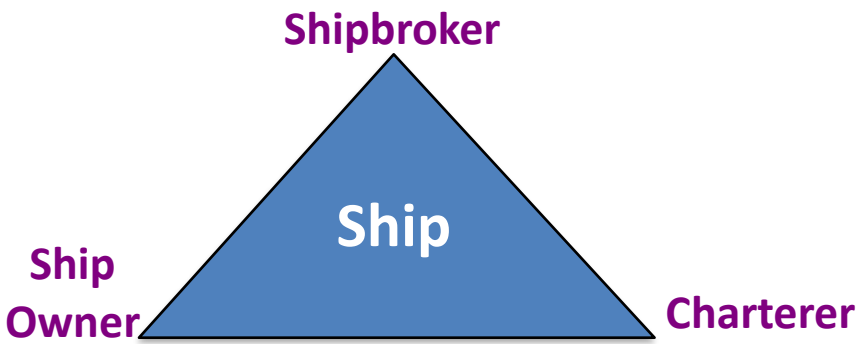


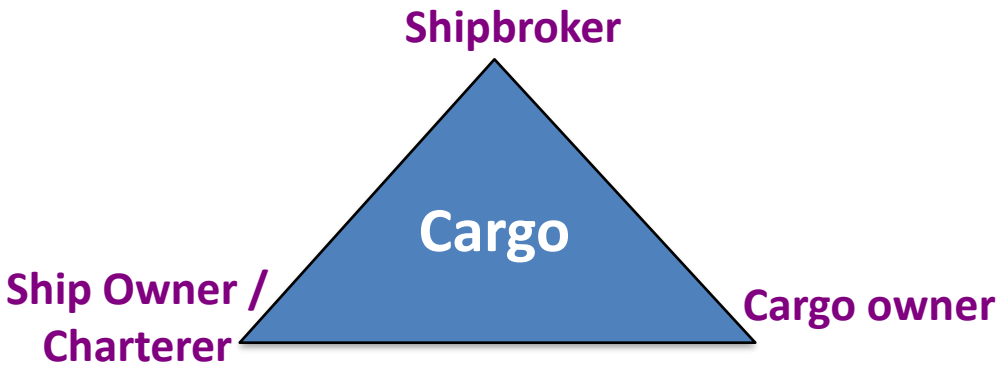
Shipyard

The Newbuilding Market

2.1 Freight Market

Shipowner	Ships for hire. In return, shipowner is paid freight.
Charterer	Hire ships from shipowner to transport own cargoes or cargoes belonging to other cargo owners.
Cargo owner	Cargoes to be transported.
Shipbroker	Put deals together in the middle of two parties





2.1 Freight Market

Shipowner	E.g., Handymax bulk carrier currently on a voyage from the US Gulf to deliver grain to Japan, so it will be 'open' (available for hire) in Japan, from the anticipated date of discharged, e.g. 10 Oct 2026. S/O may look for short or long charter.
Cargo owner	E.g., 50,000 tons of coal to ship from Newcastle, New South Wales to Rotterdam.
Shipbroker	Principal (owner or charterer) will appoint a shipbroker to discover what cargoes or ships are available. They negotiate for their client with other brokers.

2.1 Freight Market

LO2

1. Voyage Charter *Master instructed by:-* Owner	2. Time charter *Master instructed by:-* Owner for ship and charterer for cargo	3. Bare boat *Master appointed by:-* Charterer
Revenue depends on: **Quantity of cargo & rate per unit of cargo**	***Revenue depends on:*** **Hire rate, duration and off-hire time**	***Revenue depends on:*** **Hire rate & duration**
Costs paid by owner:	**Costs paid by owner:**	**Costs paid by owner:**
1. Capital costs Capital Brokerage	*1. Capital costs* Capital Brokerage	1. *Capital costs* Capital Brokerage
2. Operating costs Wages Provisions Maintenance Repairs Stores & supplies Lube oil Water Insurance Overheads	*2. Operating costs* Wages Provisions Maintenance Repairs Stores & supplies Lube oil Water Insurance Overheads	Operating costs: note that under bare boat these are paid by the charterer
3. Port costs Port charges Stevadoring charges Cleaning holds Cargo claims *4. Bunkers, etc* Canal transit dues Bunker fuel	Voyage costs: note that under time-charter and bare boat contracts these costs are paid by the charterer	
4. Contract of Affreightment (COA): cost profile same as voyage charter		

2.1 Freight Market

i. _____ Costs

- Referred to as all costs to acquire the vessel, either new or second-hand.
- Paid over a period of time, depending on the way a vessel is financed.

2.1 Freight Market

ii. _____ Costs

- Crews' wages – includes onboard and shore-based personnel.
- Insurance – (a) Hull & Machinery and (b) Protection and Indemnity (P&I) liability insurance.
- Ship maintenance, repairs, stores & supplies, water etc.

2.1 Freight Market

iii. _____ Costs

- Refers to the costs that are involved directly in a specific voyage.
- Separated into port costs and bunker costs.
- Port costs includes:
  - terminal handling charges for loading/unloading.
  - berthing charges for docking the ship.
  - pilotage fees.

2.1 Freight Market

iii. Voyage Costs

- Bunker costs:

  - affected by the length of the voyage and price of bunkers the ship pays.



A Panamax ship consumes approximately 63 tons of marine fuel per day, when operating at its top speed of 20-25 knots.

How much are the total bunker costs if it bunkered in Singapore and travelled to Australia in 20 days?

63 tons x 20 days x $483/mt = $608,580

2.1.1 Types of Ship Chartering



- A _____ is a contract for the use of the ship, concluded between the shipowner and the charterer.
- The parties generally agree to use a certain standard type of charter form, then add or delete clauses to reflect the circumstances of each individual fixture.
  E.g., *GENCON*, *BARECON*
- Charter form selected depends on purpose of vessel use, vessel's type, cargoes to be carried and parties involved.

2.1.1 Types of Ship Chartering

- Three major types of charterparties:
  - Voyage charter;
  - Time charter; and
  - Bareboat charter.

	Voyage	Time	Bareboat
Capital cost	Owner	Owner	Owner
Operating cost	Owner	Owner	Charterer
Voyage cost	Owner/Charterer	Charterer	Charterer

2.1.2 Voyage Charter

- Shipowner contracts to carry a specific cargo in nature and volume from the port(s) of loading to the port(s) of discharge in a specific ship for a negotiated price per ton.

  E.g., *grain trader may have 25,000 tons to transport from Port Cartier in Canada to Tilbury in UK. Broker will fix a ship at negotiated freight per ton (i.e., US$5.20)*

2.1.2 Voyage Charter

- As freight is collected according to amount of cargo carried, to provide sufficient quantity of cargo on time is one of the major obligations of charterer.
- Quantity of cargo is indicated in the charterparty.
- In practice, a tolerance margin of around 5% more or less at the owner's or charterer's option may be allowed.
  > due to shrinkage or wastage.

2.1.2 Voyage Charter

- **What happens if charterer fails to provide agreed amount of cargo?**

_____ is the freight amount for non-provided cargo by the charterers to the shipowner as agreed in the charterparty. This compensation offsets the lost revenue caused by unused cargo space. Protects shipowners from potential financial losses and ensures accountability in shipping contracts.

- Another solution is to agree on a 'lump sum freight' payable regardless of amount of cargo transported.

2.1.2 Voyage Charter

- Owner retains operational control and commercial management of the vessel, i.e. responsible for all operating and voyage costs.
- Master/Captain is instructed by the Shipowner.
- At the stage of charterparty negotiation, has to be decided, if shipowner or charterer is responsible for cargo handling costs at both loading and discharging ports.

2.1.2 Voyage Charter

- If voyage not completed within terms of charter-party, then there will be a claim.

  E.g.,

  (1) if laytime in Tilbury specified as 7 days but time spent in port is 10 days, then the shipowner submits a claim for 3 days' _____ from the charterer.

  (2) if ship spends only 5 days in port, charterer claim for 2 days' _____ from the owner.

2.1.2 Voyage Charter

	Period (E.g., *5 days*) allowed to charterers for loading and/or discharging without additional freight payment.
	Period of specific days (E.g., *Oct 7/16*) during which owners must present the vessel for loading.

2.1.2 Voyage Charter

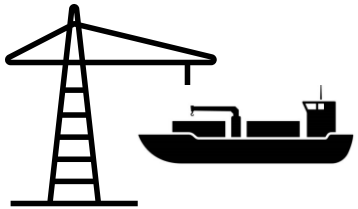
	The final lay date which, if the chartered vessel has not been presented for loading, the charterers may reject and cancel the charter.
	Money payable to S/O for delay in loading/discharging beyond the lay time.
	Money payable to charterer if ship is loaded/discharged in less than lay time.

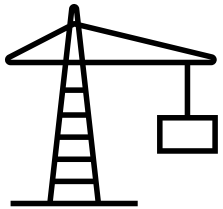
2.1.3 Consecutive Voyage Charter (CVC)

- Special variations of voyage charters – vessel is contracted for several voyages which follow consecutive upon one another.
- Contains both voyage and time charter elements – hybrid charter form.
  - "make a certain number of consecutive voyages";
  - "make as many voyages as she may perform during a certain period of time".

2.1.3 Consecutive Voyage Charter (CVC)

- A _____ is chartered on one charterparty.
- Proceeds loaded from loading port to discharging port, to return in ballast and repeat the voyage consecutively until all agreed cargo has been transported.





2.1.3 Consecutive Voyage Charter (CVC)

- This type of charter common with large volumes of cargo.
- Individual voyages made on voyage charter terms and conditions, with freight paid per voyage in USD per ton.

2.1.4 Contract of Affreightment (COA)

- Shipowner contracts to carry regular quantities of a specific cargo on a particular route(s) over a given period of time using ships of his choice within specific restrictions for a negotiated price per ton.

  E.g., *contract to supply 10 consignments of 50,000 tons of coal from Columbia to Rotterdam at two-monthly intervals*.

2.1.4 Contract of Affreightment (COA)

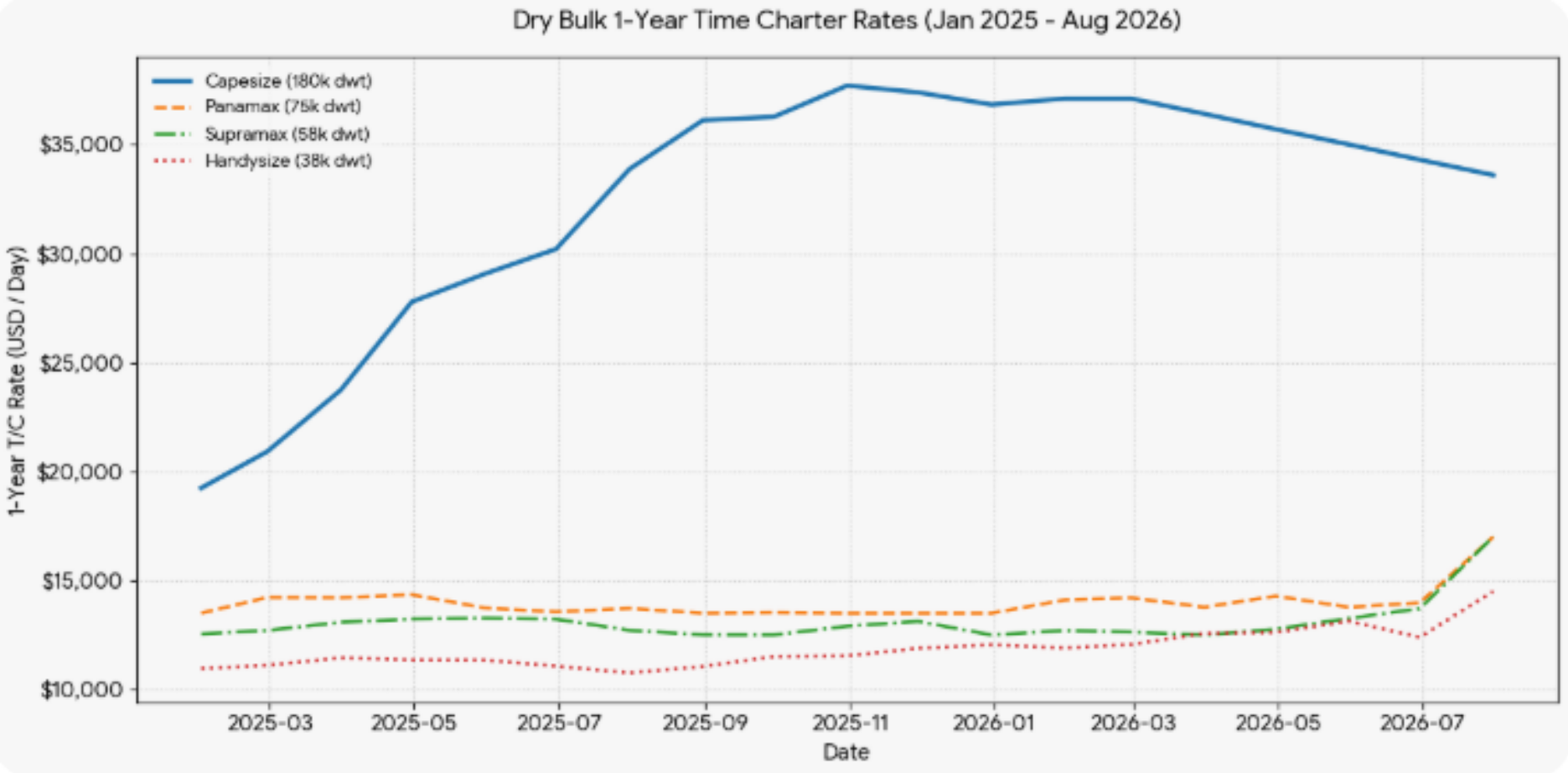
- S/O able to plan the use of his ship in the most efficient manner.
  → switch cargo between vessels to give the best possible operating pattern.
  → arrange backhaul cargoes to improve utilisation.
- Most COA business specialises in iron ore and coal with major customers the steel mills in the Far East.

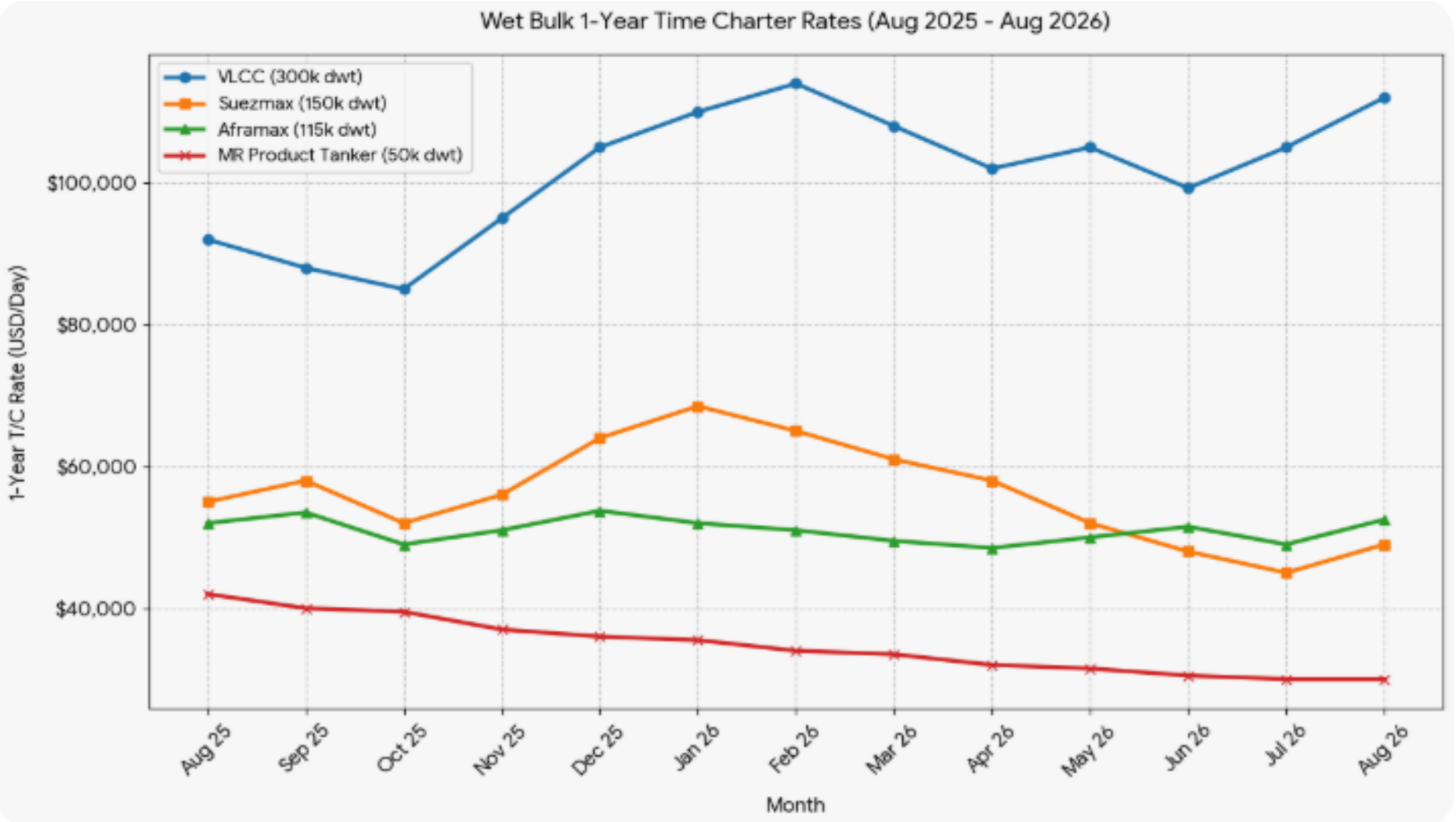
2.1.5 Time Charter

- An agreement between shipowner and charterer to hire the ship, complete with crew, operated by the shipowner under instructions from the charterer, for a fee per day, month or year.
- **Shipowner** pays capital and operating expenses (crew, maintenance and repair)
- **Charterer** pays voyage costs (bunkers, port charges and canal dues) and cargo handling costs.

2.1.5 Time Charter

- Shipowner must state the vessel's speed, fuel consumption and cargo capacity.
- Charterparty will set out conditions under which the vessel is regard as 'off-hire'.
  E.g., *emergency repairs or when charterer fails to pay charter hire*.
- Long term charters deals with (i) adjustment to hire in event of lay up and (ii) termination if shipowner fails to run ship effectively.


Dry Bulk 1-Year Time Charter Rates (Jan 2025 - Aug 2026)
Capesize (180k dwt)
Panamax (75k dwt)
Supramax (58k dwt)
Handysize (38k dwt)
1-Year T/C Rate (USD / Day)
$35,000
$30,000
$25,000
$20,000
$15,000
$10,000
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
2026-05
2026-07
Date


Wet Bulk 1-Year Time Charter Rates (Aug 2025 - Aug 2026)
VLCC (300k dwt)
Suezmax (150k dwt)
Aframax (115k dwt)
MR Product Tanker (50k dwt)
$100,000
$80,000
$60,000
$40,000
1-Year T/C Rate (USD/Day)
Aug 25
Sep 25
Oct 25
Nov 25
Dec 25
Jan 26
Feb 26
Mar 26
Apr 26
May 26
Jun 26
Jul 26
Aug 26
Month

2.1.6 Bare Boat Charter

- If a company wishes to have full operational control of the ship but does not wish to own it, a bare boat charter is arranged.
- Investor purchases the vessel and hands it over to the charterer for a specified period.
- Shipowner, often a financial institution is not active in the operation of the vessel and only pays the capital costs.

Seacon signs sale-and-leaseback deal with Bank of China for handysize bulker

The capital unlocked from the transaction will support Seacon's strategy of renewing and expanding its fleet

03 Jun 2024 | **NEWS**

SEACON Shipping has secured financing through a sale-and-leaseback transaction of a handysize newbuilding with the leasing arm of Bank of China.

The Hong Kong-listed shipowner and operator has sealed a deal to sell a 43,655 gt bulk carrier to the bank for $29.8m, according to a filing to the stock exchange.

The newbuilding, which is currently under construction, is estimated to be worth $43m, the filing said.

BOC Financial Leasing will then bareboat charter the bulk carrier to Seacon for 10 years on delivery, which is scheduled by the end of October this year.

The quarterly charter hire includes a fixed payment of $383,700, plus a floating pay based on the principal balance and interest rate.

United Maritime adds third bareboat-chartered bulker amid dry bulk optimism

Greece-based owner intends to exercise purchase options on all three recent bareboat vessels acquired from Japanese counterparties

21 Feb 2024 | **NEWS**

UNITED Maritime has clinched a third bareboat charter-in of a bulker, as the Nasdaq-listed bulk carrier owner looks to grow the fleet amid optimism over the future course of the dry bulk market.

The spin-off from Greece-based Seanergy Maritime said that it agreed an 18-month bareboat agreement for an eight-year-old Japanese-built kamsarmax this month due for delivery between June and October this year.

The deal calls for a down payment of $7.5m, a daily charter rate of $8,000 and a $16.6m purchase option at the end of the charter.

In aggregate, the acquisition cost of the 82,235 dwt vessel after exercise of the option will amount to about $28.5m, the company said.

Review Questions

1. **Which market is a cash outflow for shipowners and shipping companies?**

a. Freight market

b. Sale & Purchase (S&P) market

c. Newbuildings market

d. Demolition market

Answer:

Review Questions

2. Under bareboat charter, the shipowner will have to pay for which of the following cost?

a. Capital costs

b. Operating costs

c. Port costs

d. Bunkers

Answer:

Review Questions

3. Money payable to the shipowner for delay in loading or discharging beyond the lay time is known as _____.

a. Lay can

b. Lay days

c. Demurrage

d. Despatch

Answer:

2.1.7 Freight Market Reporting

- Freight rates at which charters are fixed depends on market conditions and free flow of information on the latest market developments.
- Starting point of charter negotiations is usually ‘last done’.
- Data & information sources include: Fearnleys, Clarksons – Shipping Intelligence Network, and Simpson, Spence & Young (SSY).

2.1.7 Freight Market Reporting

- **Dry cargo** market report
  - Baltic Dry Index (BDI)
- **Tanker** market report
  - Worldscale Index (W/S) for tanker freight rate.
- **Liner and specialist ship** chartering
- Freight rate statistics
  - voyage/spot rates statistics
  - time charter rates

2.1.7 Freight Market Reporting

- Tanker Market Report

  - divided into ‘clean’ and ‘dirty’

  → **clean** oil products – gasoline, diesel fuel and jet fuel.

  → **dirty** oil products – crude oil and black products.

  - tanker fixtures for single voyage are generally in *Worldscale*, an index based on the cost of operating a standard tanker on the route.

  - ‘*Middle East Gulf (MEG) to Japan* – Falkonera, *257,000t, W120, July 30 (Idemitsu)*’

2.1.7 Freight Market Reporting

- Worldscale
  - published in a book that is used as a basis for calculating tanker spot rates.
  - shows for each tanker route, the cost of transporting a tonne of cargo using the standard vessel on a round voyage → '*Worldscale 100 - W100*'.

From Yokohama to:	US$/tonne	Miles
Adelaide	10.60	10,574
Aden	12.39	13,038
Chiba	2.90	50

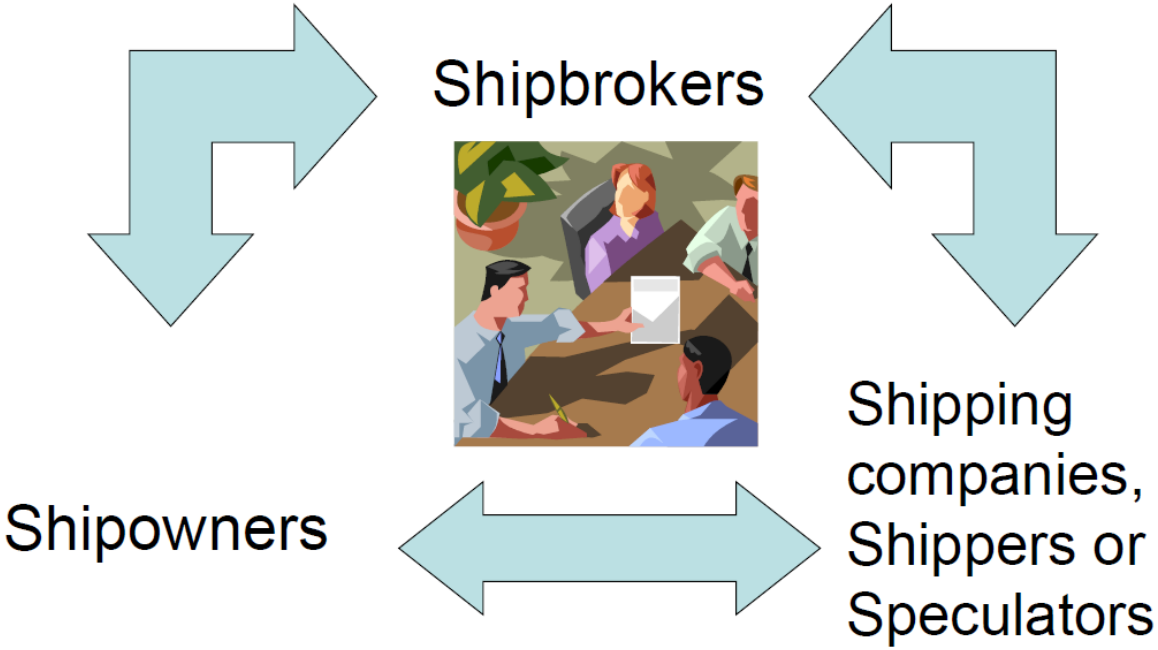
2.1.8 Forward Freight Agreement (FFA)

- FFA is a financial *forward contract* that allows shipowner and charterers to hedge against volatility of freight rates.
- Non-standardized contract between two parties to buy or sell an asset at *specified future time* at a *price agree upon today*.
- Build on an index composed of a shipping route for tanker or basket of routes for dry bulk.
  E.g., *TD3 VLCC from AG to Japan or the Baltic Exchange Capesize Index (BCI)*.

2.1.8 Forward Freight Agreement (FFA)

- Process for arranging an FFA similar to time charters but no physical commitment is involved.
- Main terms of agreement include:
  i. the agree route (E.g., Richards Bay to Rotterdam)
  ii. the price (E.g., $33 per tonne)
  iii. the day, month and year of settlement
  iv. quantity (E.g., 150,000 tonnes)
  v. settlement index (E.g., BCI C4)

2.2 Sale and Purchase Market (S&P)



Who are the speculators in the shipping industry?

2.2 Sale and Purchase Market (S&P)

- Buying/selling a ship can be divided into 5 stages:

1. **Putting the ship on the market**

   - particulars of ship for sale are circulated to interested parties in the market.

2. **Negotiating of price and conditions**

3. **Memorandum of Agreement (MOA)**

   - Norwegian Sales Form (2012) commonly used.

2.2 Sale and Purchase Market (S&P)

- Buying/selling a ship can be divided into 5 stages:

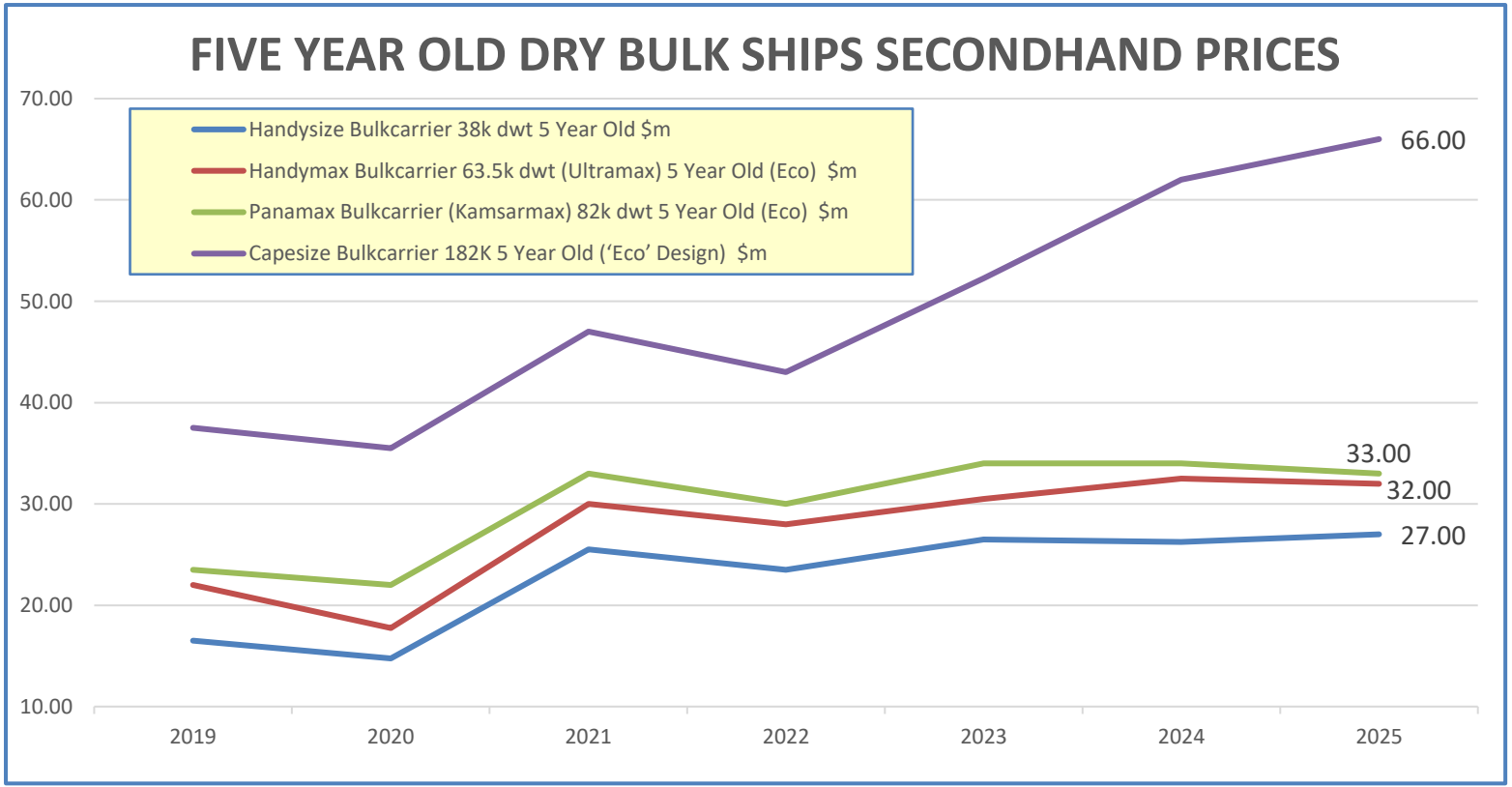
4. Inspections

- buyer or his surveyor makes inspections permitted in the sales contract.
- if defects found, may be used to renegotiate price.

5. Closing

2.2 Sale and Purchase Market (S&P)

- Sale & Purchase market thrives on **price volatility**.

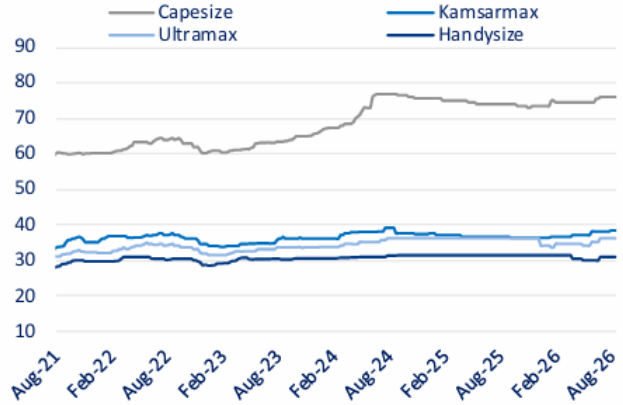


2.2 Sale and Purchase Market (S&P)

Dry Newbuilding Prices ($ mills)

Size	Aug 2026	Aug 2025	±%	Average Prices 2026	2025	2024
Capesize	**76.0**	74.0	3%	74.9	74.2	73.2
Kamsarmax	**38.3**	36.5	5%	37.2	36.6	37.5
Ultramax	**36.0**	36.0	0%	34.8	35.9	35.1
Handysize	**31.0**	31.5	-2%	30.9	31.5	31.1

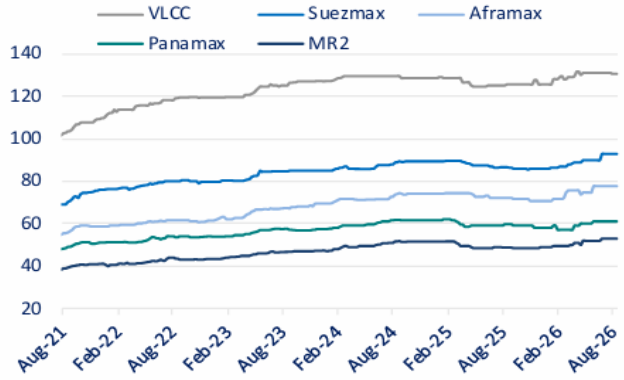
Above prices/trends refer to Chinese shipbuilding



Tanker Newbuilding Prices ($ mills)

Size	Aug 2026	Aug 2025	±%	Average Prices 2026	2025	2024
VLCC	**131.5**	125.7	5%	130.3	126.6	129.4
Suezmax	**93.0**	86.7	7%	89.4	87.5	87.6
Aframax	**78.0**	72.5	8%	75.3	73.0	72.7
Panamax	**61.0**	59.4	3%	59.3	59.5	60.2
MR2	**53.0**	48.8	9%	51.1	49.3	50.2

Above prices/trends refer to S. Korean shipbuilding



2.2.1 How Are Ship Prices Determined

i. Freight rates

- primary influence on ship prices.

ii. Age

- normal accounting practice to depreciate ships down to scrap over 20-25 years.
- brokers use ‘rule of thumb’ that a ship loses 5-6% of its value each year.

2.2.1 How Are Ship Prices Determined

iii. Inflation

iv. Shipowners' expectations for the future

- market can swing from deep depression to intense activity in the space of only a few weeks.

2.3 Newbuilding Market

- Differs from S&P market in several ways:
  - i. **Specification of the ship must be determined** (i.e. design and engineering specs).
    - shipyards will press the buyer to take a yard standard design.
    - totally new designs are tricky because costs have to be estimated early in the negotiation.
  - ii. **Contractual process more complex**.
  - iii. **Lead time is 1.5-3 years** from contract date – managing expectations important.

2.3 Newbuilding Market

- Buyer has several motives to purchase new buys:
  i. No suitable ships available on second-hand market.
  ii. Second-hand prices may be higher than new prices.
  iii. Ships needed for industrial project (i.e. steel mills, power stations, LNG schemes).
  iv. Regular replacement policy.
  v. Incentives offered by shipbuilders (low prices, favourable credit, availability of profitable time charters).

2.3 Newbuilding Market

- Owners often appoint a broker to handle but may deal directly if they have existing relationship and resources.
- One common procedure is to invite tenders from selection of suitable yards.
  - extensive, precise ship's specification.
  - whole process from 6 months to one year.
- In sellers' market, tender procedure might not be possible.
  - buyers compete for few available berths
  - shipyards insist sale of a standard design.

2.3 Newbuilding Market

- Contract negotiation divided into four areas:
  - i. **Price;**
  - ii. **Specification of the vessel;**
  - iii. **Terms and conditions of the contract;**
  - iv. **Newbuilding finance offered by the shipbuilder.**

2.3 Newbuilding Market

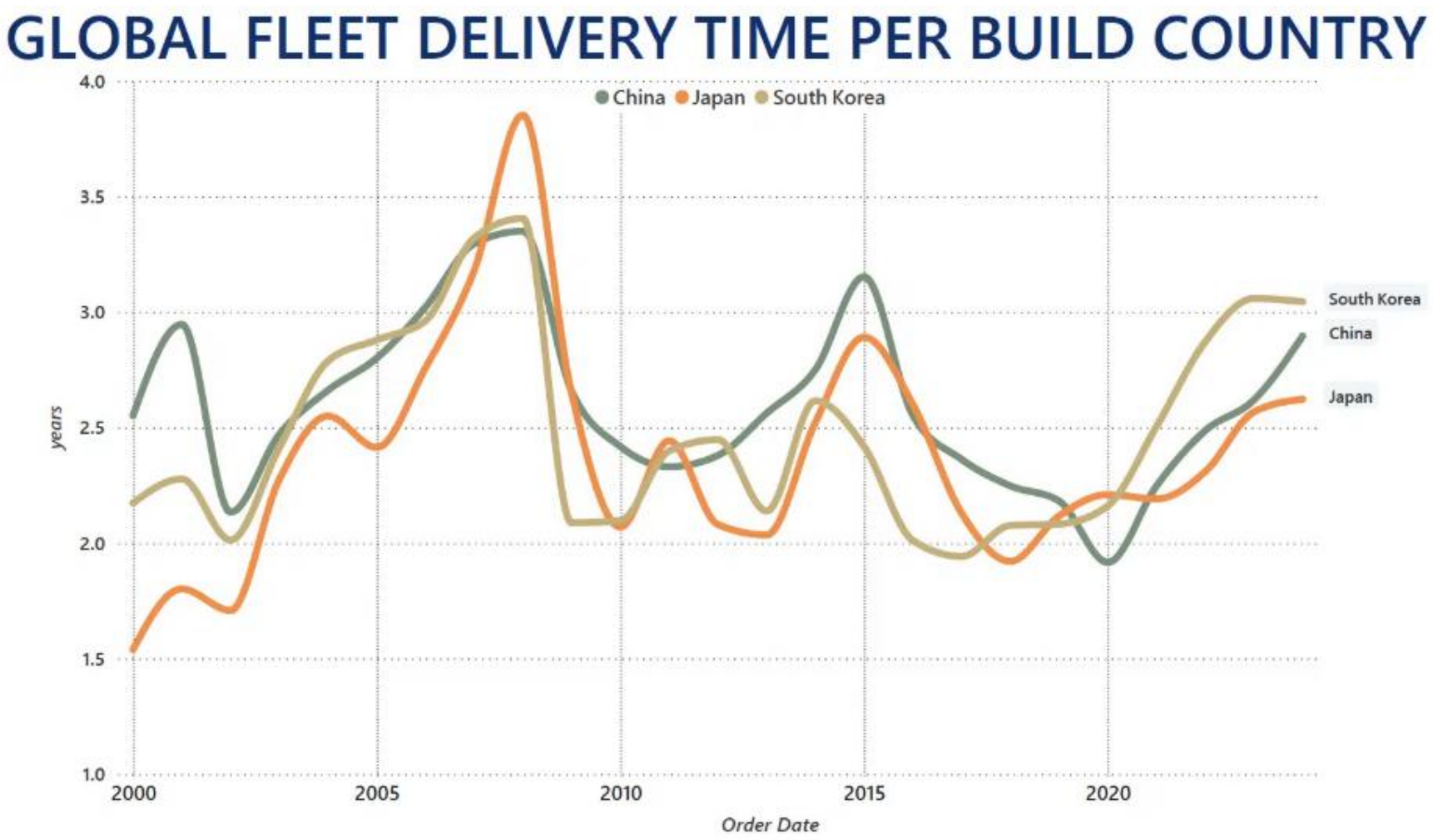
- Ships contracted for fixed **price**, payable in series of '*stage payments*' spread over the construction of the ship.
- Shipbuilders' aim is to be paid as he builds the ship.
- In seller's market, builder may demand 50% on contract signing.
- In buyer's market, 10% at contract, keel lay and launch and remaining 70% on delivery.

2.3 Newbuilding Market

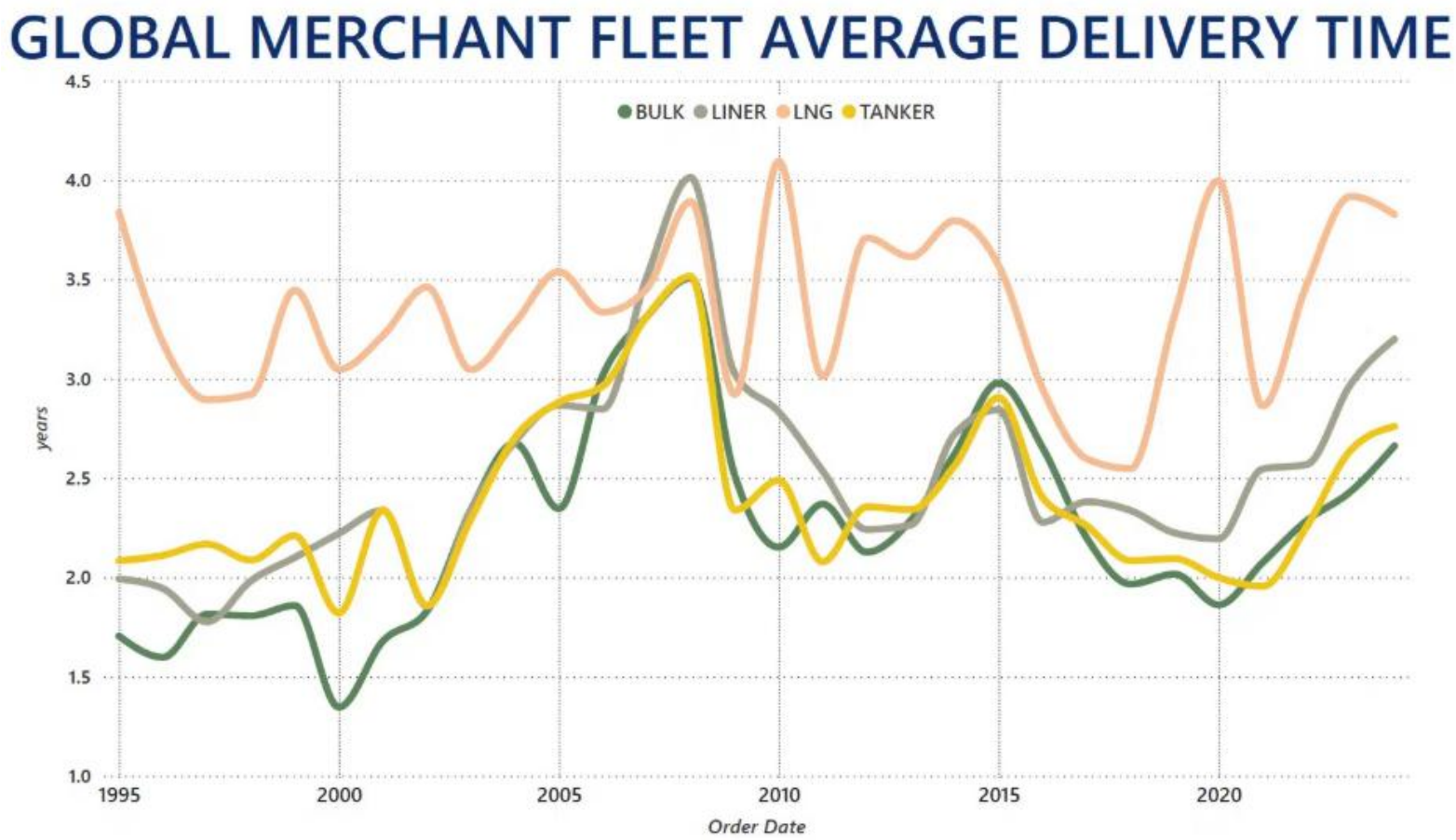
- Typical pattern of shipyard stage payments

Stages in production	Payment due
Contract signing	5%
1,000 tons steel delivered	5%
Commencement of steel fabrication	15%
25% steel erected	20%
75% steel erected	20%
Steel erection completed	15%
Trial launch	5%
Delivery	15%

2.3 Newbuilding Market



2.3 Newbuilding Market



China's shipbuilding dominance rolls on, but delivery may be the next test

- *China captured 82% of global ship orders by dwt in the first half of 2026, up from 69% last year, with new yards 'springing up like mushrooms'*
- *Industry observers warn the focus is shifting from winning contracts to fulfilling them, as some yards have taken on more orders than capacity allows*
- *The US-South Korea shipbuilding partnership marks a new era of 'alliance-based competition', aiming to rebuild a strategic shipbuilding ecosystem*

07 Aug 2026 | **ANALYSIS**

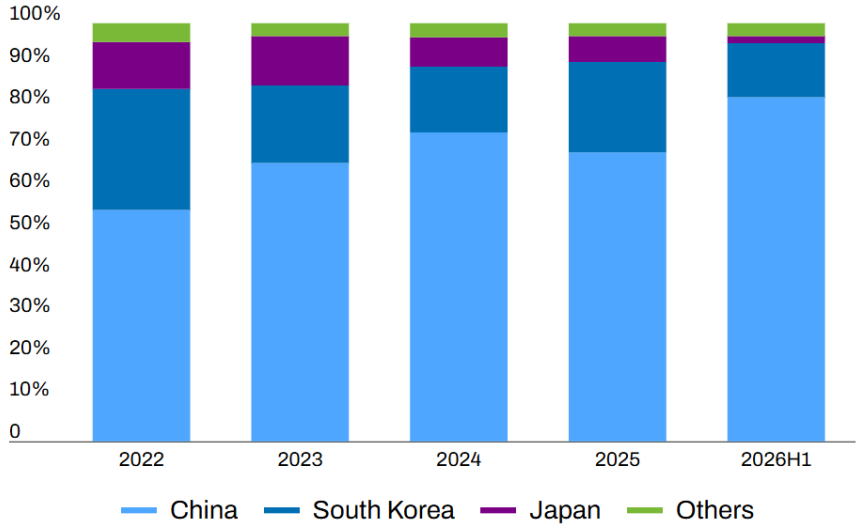


by Cichen Shen

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China's shipbuilding dominance shows no signs of slowing, but the proliferation of new yards and swelling orderbooks are raising questions about delivery risks

Shipbuilding nations' market share by new orders (dwt)



However, the report cautioned that market psychology is shifting. Participants are increasingly focused not just on whether orders exist, but on whether yards can deliver on time, whether supply chains are stable and whether demand can be sustained.

Some yards have taken on more orders than their production capacity can absorb, leading to delivery delays and extended payment cycles with suppliers, CNPI noted.

2.3 Newbuilding Market

- **Specification** of the vessel is important as modifications to the design may add 10-15% to the cost.
- **Letter of intent** for developing the details of the design and construction contract.
- Provision of **finance** by shipbuilders is often subsidised by the government as a way of keeping the shipyards competitive and ensure survival.

2.4 Demolition (Recycling) Market

- Ultimate buyers are demolition yards in the Far East (E.g., *India, Pakistan, Bangladesh and Turkey*).
- Prices determined by negotiation and depend on availability of ships for scrap and demand for scrap metal.
- Prices can be volatile, fluctuating from a trough of $100/ldt in 1980s to more than $500/ldt in recent years.

2.4 Demolition (Recycling) Market

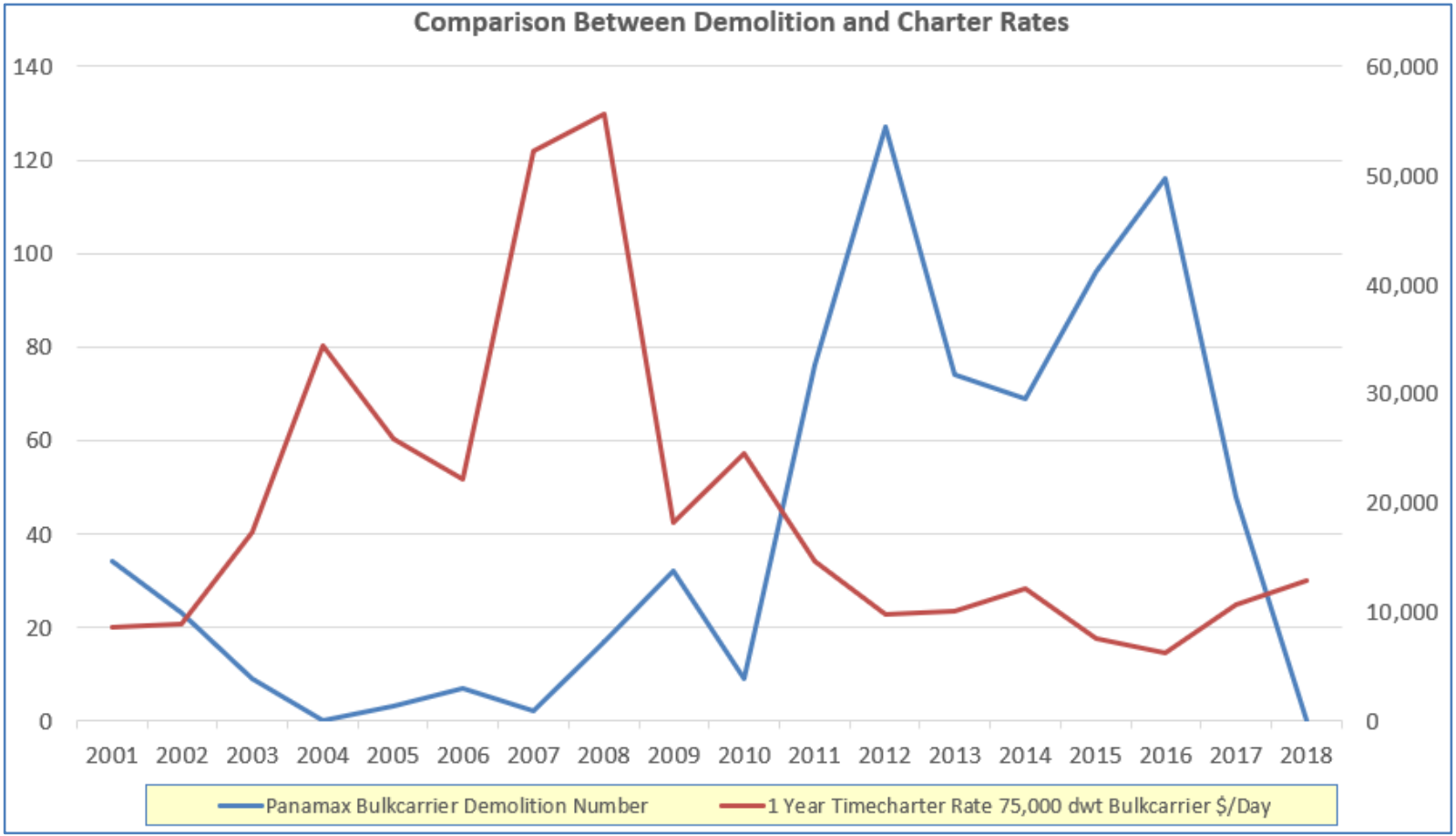
- "HUA TU 149,532 DWT BLT 9/2002 China Shipbuilding 18,431 LDT – USD 420 per LDT, Delivery Bangladesh"

Vessel	Hua Tu
DWT	149,532
Ballast Tank	9
Year of Built	2002
Owners	China Shipbuilding
LDT	18,431
Demolition Yard	Bangladesh

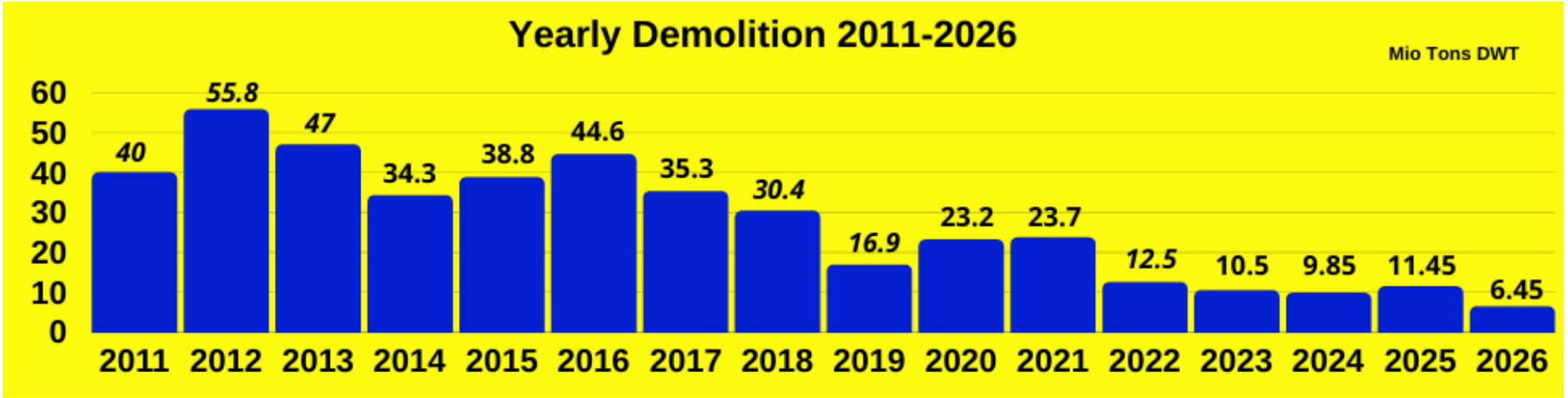
Light displacement (LDT) is defined as the weight of the ship excluding cargo, fuel, water, ballast, stores, passengers, crew but with water in the boilers to steaming level.

How much did the owners get for the demolition?

2.4 Demolition (Recycling) Market



2.4 Demolition (Recycling) Market



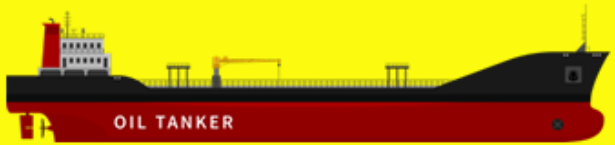
HISTORICAL DEMOLITION PRICES*

	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
TANK	482	405	435	425	300	300	440	435	380	410	570	550	520	475	385	435
DRY	456	375	410	400	285	280	425	425	370	390	555	550	520	475	385	445

**Indian End of year prices*

WEEKLY TREND: UPWARDS

$US/LT Ldt

	India	Bangladesh	Pakistan	Turkey
	$420	$450	$455	$271
	$440	$480	$470	$281
	$455	$490	$475	$290






GADANI SHIPBREAKING YARD
PAKISTAN



Case Scenario

A shipowner had a difficult decision to make. He was about to take delivery of two 300,000 dwt VLCCs which an oil company was prepared to charter for 5 years at $37,000 per day each. This would guarantee revenue to cover his finance costs for the 5 years of the ships' life, but the return on his equity worked out at only 6% per annum. Not much for the risk he had taken in ordering the ships. In addition, time charter would shut him out from the tanker boom he felt sure would happen in the next few years.

He decided to wait and trade the ships on the spot market, but because of the high level of debt service for those two years he entered into some VLCC forward freight agreements (FFAs) to hedge his earnings at $40,000 per day for those two years. This turned out to be a good decision, since the ships were delivered into a falling market and the positive settlement of the FFAs topped his falling spot market income. Unfortunately, the next three years proved to be very poor and the vessels earned only $25,000 per day each. To meet bank payments the owner was forced to sell two old Suezmax tankers. Since there were no offers from trading buyers he eventually sold them to a breaker for $5 million each. Two years earlier, they had been valued at $23 million each.

Case Scenario

- The _____ market is where he ordered ships.
- The _____ market is where he chartered them and concluded FFAs.
- The _____ market is where he tried to sell the Suezmax tankers.
- The _____ market is where he finally sold the Suezmax tankers.

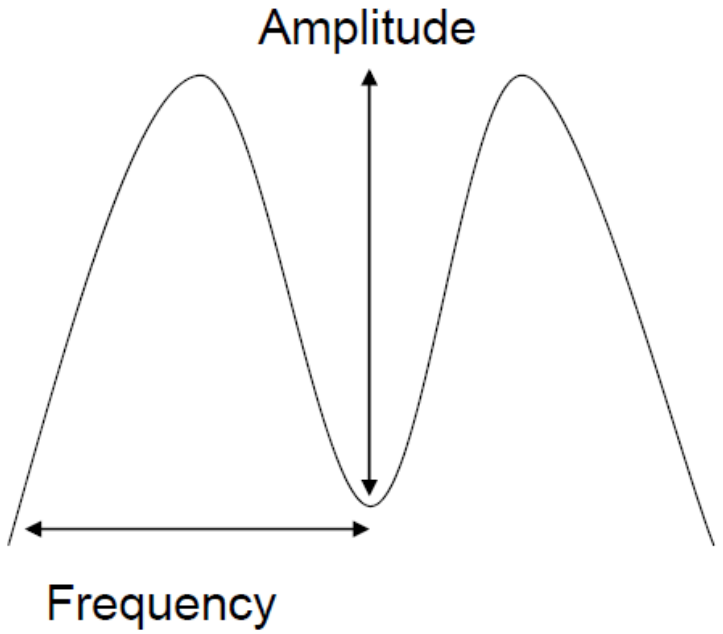


3. Market Cycle

3. What is a market cycle?

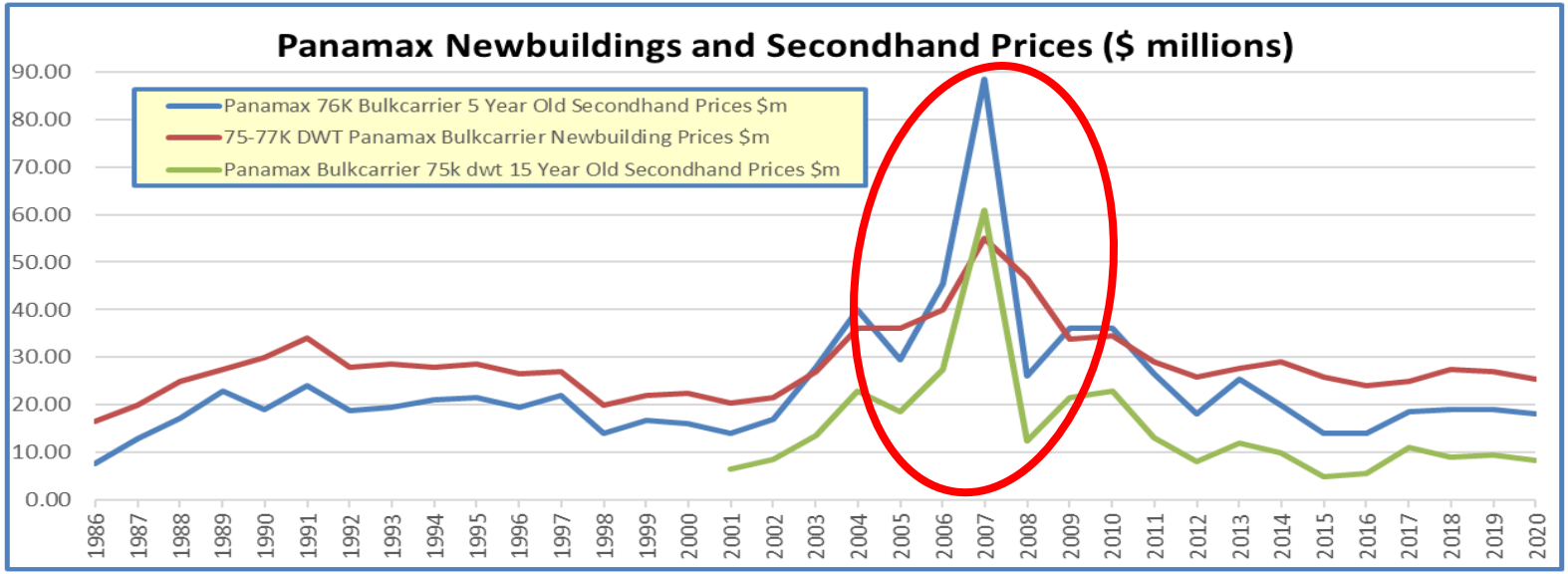
- An interval of time during which one sequence of a regularly recurring sequence of events is completed.

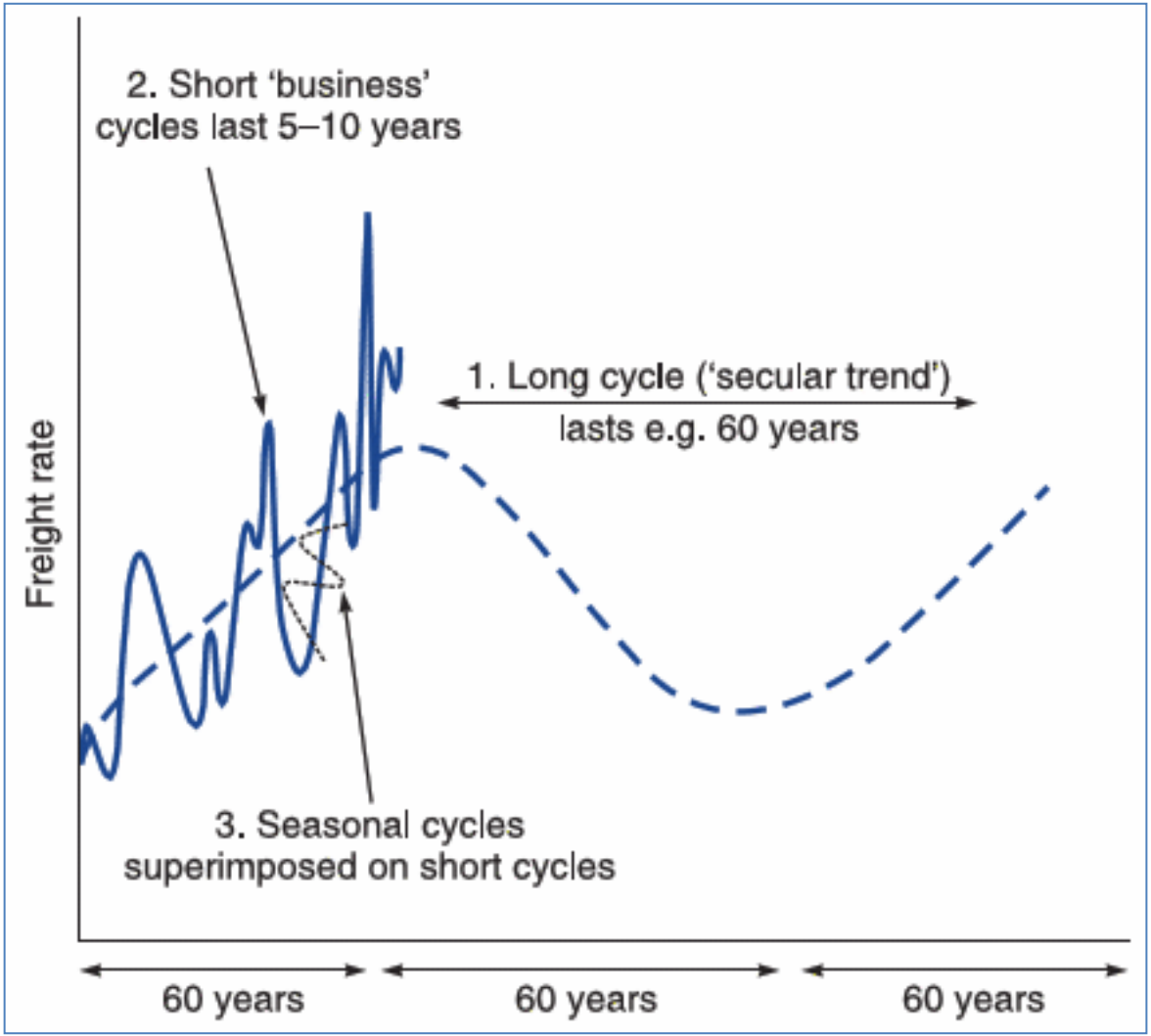
• Amplitude: distance from peak to trough
• Frequency: distance between peaks (or troughs) in the cycle



3. What is a market cycle?

- Market cycles pervade the shipping industry.
- Waves of *shipping cycles* ripple through the financial lives of shipowners.




2. Short 'business' cycles last 5–10 years
1. Long cycle ('secular trend') lasts e.g. 60 years
Freight rate
3. Seasonal cycles superimposed on short cycles
60 years
60 years
60 years

3. What is a market cycle?

- Cycles occur in many industries, not unique to shipping.
- Consequence of market mechanism.
- Market adjusting supply to meet demand by regulating cashflow.
- Cycles create environment in which weak shipping companies are forced out, leaving the strong to survive and prosper.

3.1 Shipping Market Cycle

- Shipping cycle – mechanism that coordinates supply and demand in shipping market > financial switchbox that regulate investment.
- Complete cycle has ____ **stages**.
- Shipping cycles are episodic – no firm rules about timing and extent.
- No simple formula for predicting shape of next cycle.

3.2 Seasonal Cycles

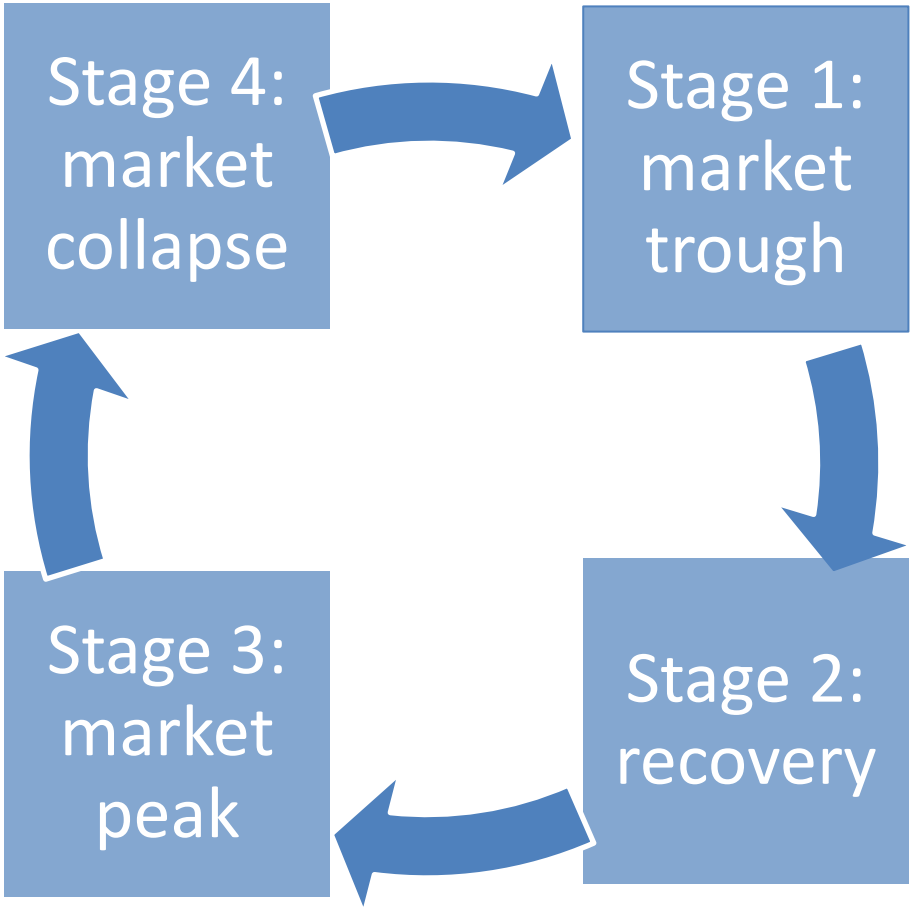
- Occur widely in shipping causing fluctuations in freight rates during to seasonal patterns of demand for sea transport.

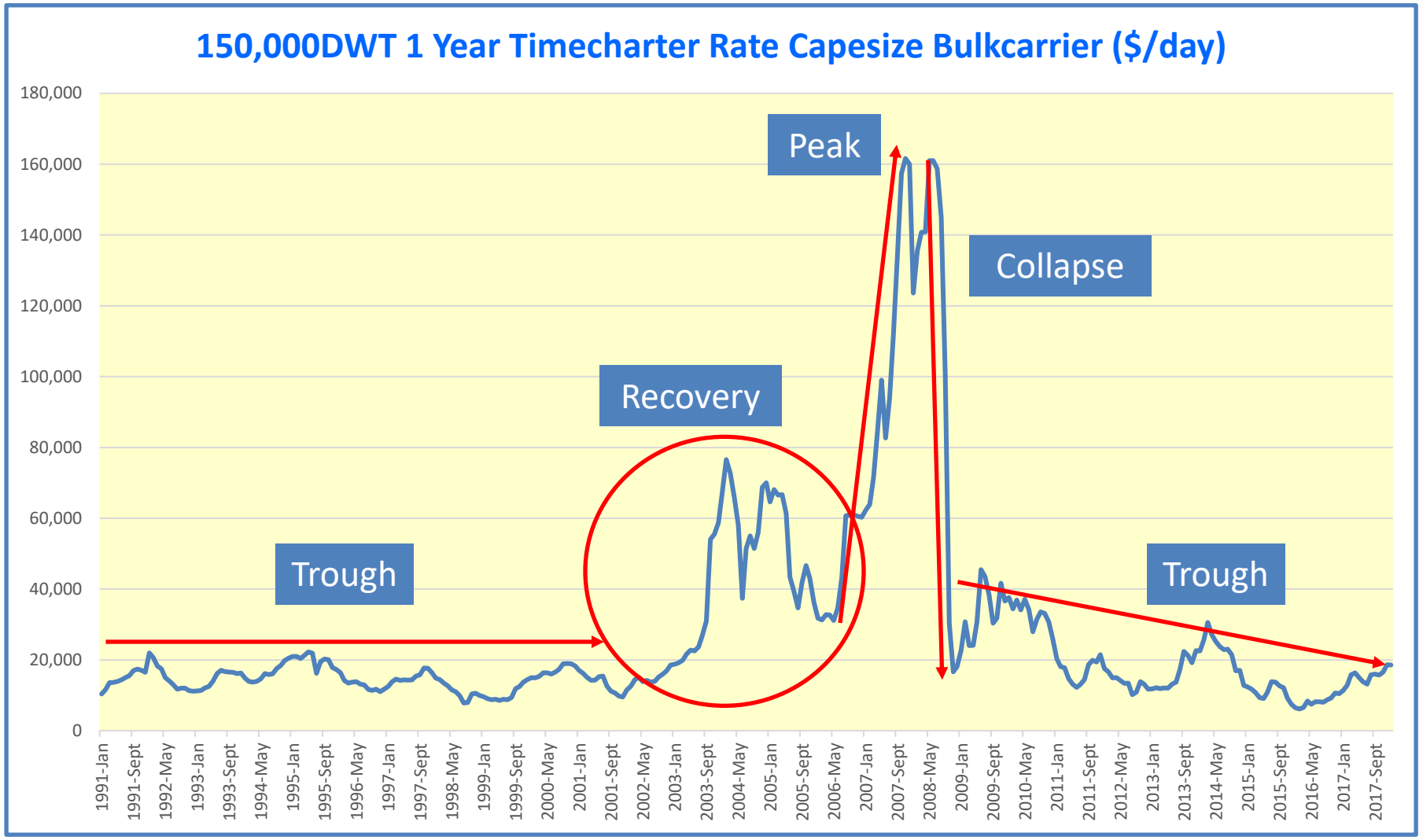
(i) Surge in grain movements during late September and October as North American harvests is shipped.
(ii) In reefer trade, movement of fresh fruit during the harvest in the Northern Hemisphere.
(iii) Stocking up of oil for periods of peak demand in the winter.

LO4

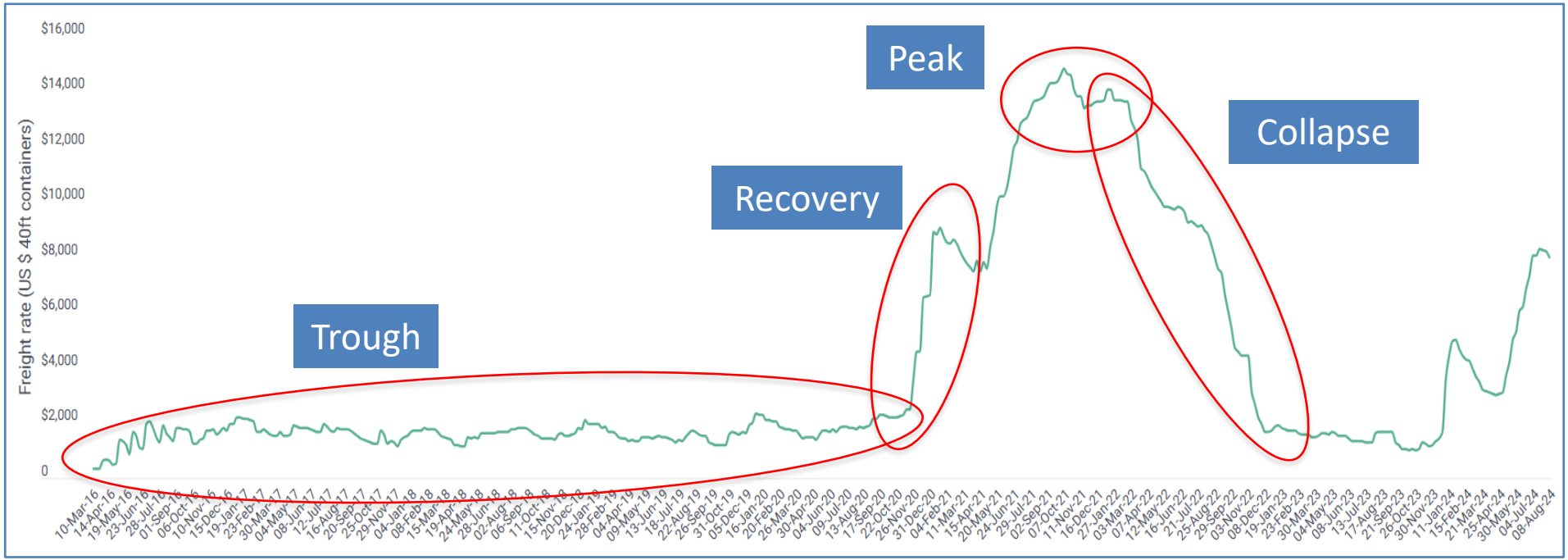
4. Four Stages of Shipping Cycles

4. Four Stages of Shipping Cycles

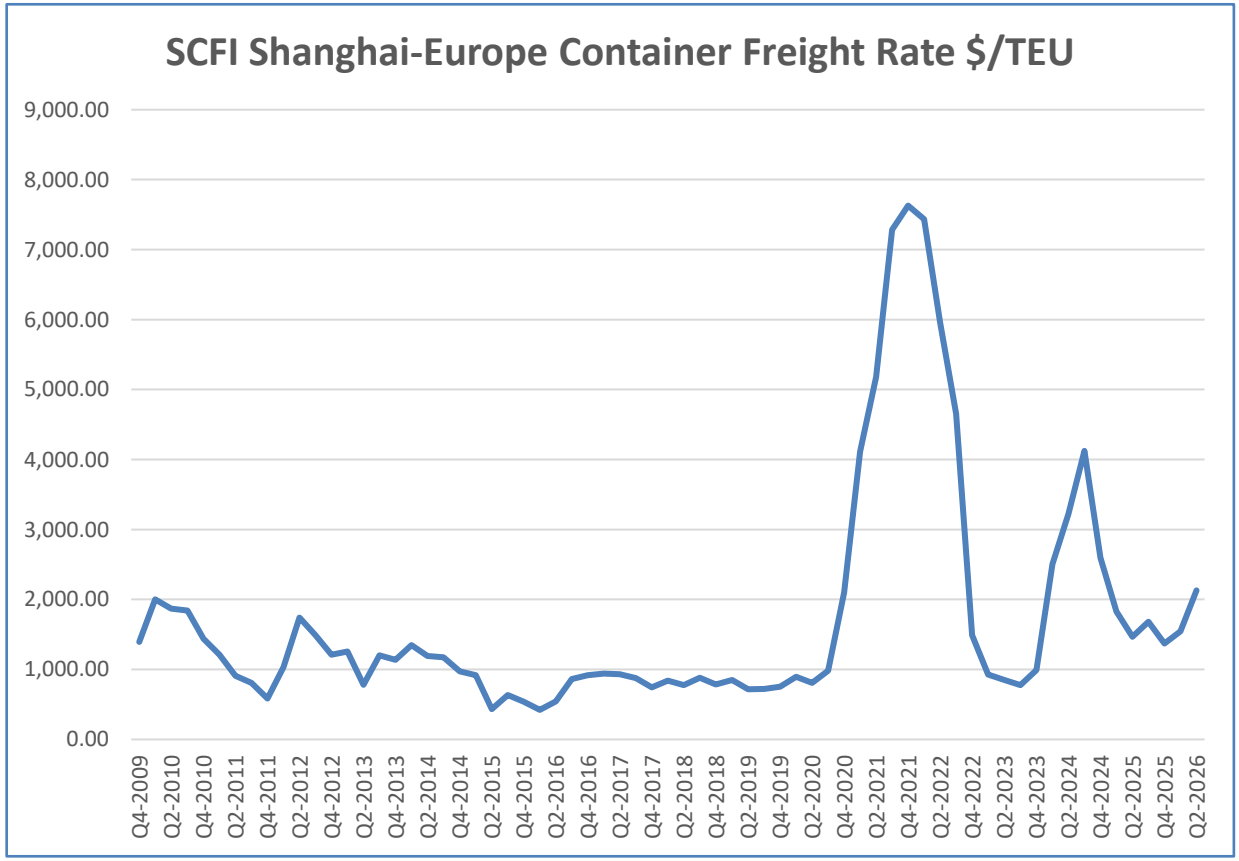



150,000DWT 1 Year Timecharter Rate Capesize Bulkcarrier ($/day)
180,000
160,000
140,000
120,000
100,000
80,000
60,000
40,000
20,000
0
Peak
Collapse
Recovery
Trough
Trough
1991-Jan
1991-Sept
1992-May
1993-Jan
1993-Sept
1994-May
1995-Jan
1995-Sept
1996-May
1997-Jan
1997-Sept
1998-May
1999-Jan
1999-Sept
2000-May
2001-Jan
2001-Sept
2002-May
2003-Jan
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2004-May
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2005-Sept
2006-May
2007-Jan
2007-Sept
2008-May
2009-Jan
2009-Sept
2010-May
2011-Jan
2011-Sept
2012-May
2013-Jan
2013-Sept
2014-May
2015-Jan
2015-Sept
2016-May
2017-Jan
2017-Sept

Shanghai-Rotterdam (US$/40FT)



What is the container freight market going to be like in 3-4 months' time?



4.1 Stage One - Trough

- Surplus shipping capacity with ships queuing at loading points and sea slow-steaming to save fuel.
- Banks foreclose and shipping companies forced to sell modern ships at distress prices, well below their book value.
- As market starts to correct itself from overcapacity, seeds of recovery are sown.

4.1 Trough

- **Freight rates** – fall to operating costs of least efficient ships, which move into lay-up.
- **Newbuilding market and prices** –
- **S&P market and prices** –
- **Demolition market and prices** –
- **Banks -**

Maersk Line Lays Up Triple-E, Cools Over Option for Eight 14,000 TEU Newbuilds

by Ship & Bunker News Team

Friday October 30, 2015

Maersk Line has idled one of its **18,000-TEU** Triple-E containerships, a move which underscores the dire conditions of the container shipping industry, Seatrade Maritime reports.

According to **Alphaliner**, most carrier lines have generally avoided idling their larger ships.

“This Maersk Line vessel is scheduled to remain anchored for six weeks as a result the void sailings programme on the **Asia -Europe** route," Alphaliner said.

By Mike Wackett 18/10/2023

The amount of containership capacity idled has surged again, the latest survey from Alphaliner reporting 315 vessels (1.18 million teu) in lay-up, representing 4.3% of the global fleet.

By Charlotte Goldstone 26/06/2024

As global demand for box ship capacity continues to dramatically outstrip supply, the number of idled vessels is down to numbers not seen since the pandemic.

4.2 Stage Two - Recovery

- Demand and supply of ships move towards balance.
- Laid up tonnage falls.
- Market sentiment remains uncertain but gradually confidence grows.
- Spells of optimism alternate with doubts.

4.2 Stage Two - Recovery

- **Freight rates –**
- **New building market and prices –**
- **S&P market and prices –**
- **Demolition market and prices –**
- **Banks -**

4.3 Stage Three - Peak

- Shipping surplus absorbed, supply and demand tightened.
- Only untradable ships are laid up and fleet operates as at full speed.
- May last a few weeks or several years depending on external factors such as balance of demand-supply pressures, geopolitical risks.
- High earnings generate excitement, increasing liquidity.

4.3 Stage 3 - Peak

- **Freight rates** – rises up to 2-3 times operating expenses (OPEX), could be much more.
- **New building market and prices** –
- **S&P market and prices** –
- **Demolition market and prices** –

4.3 Stage 3 - Peak

- Banks – keen to lend against strong asset values.
- International press reports prosperous shipping business and shipping companies listed on stock markets.
- Leads to *over-trading*:
  - ✓ second-hand prices move way above their replacement cost;
  - ✓ modern ships sell more than newbuilding prices;
  - ✓ older ships bought without inspection.

4.4 Stage Four - Collapse

- Supply > demand, markets moves into *collapse phase*.
- Delivery of vessels at the top of the market.
- Spot ships build up in key ports.
- Ships reduce operating speed.

4.4 Stage Four - Collapse

- **Freight rates** –
- **New building market and prices** –
- **S&P market and prices** –
- **Demolition market and prices** –
- **Banks -**


Market collapse and recession
Boom in trade/Demand for shipping
Over ordering
Shortage of ships

Discussion Questions

- In groups of four to six, **discuss which stage of the shipping market cycle are various shipping sectors in at current time**. Your group will be assigned a particular sector. State your reasons using supporting evidences.







Transpacific liner rates rise as Asia-Europe weakness deepens

- *Shanghai-US West Coast rates rose 0.8% to $6,765 per feu, while East Coast rates gained 1.4% to $9,700*
- *North Europe rates fell 3.1% to $4,663 per feu, and Mediterranean prices dropped 6.7% to $5,094*
- *Eight reporting carriers generated combined second-quarter operating profit of $2.7bn, up 58.2% year on year*

25 Aug 2026 | **NEWS**

Yet again, crude tanker rates are surging higher across the globe

- *West Africa-China VLCC index is at $143,638 per day, the highest since July 10; US Gulf-China VLCC index is at $131,955 per day, the highest since June 26*
- *Oman-China index is at $170,651 per day, the highest since June 25; Middle East Gulf-China TD3C VLCC index is at $523,942 per day, the highest since March 16*
- *West Africa-North Europe suezmax index is up 94% w/w to $165,086 per day; Guyana-North Europe suezmax index is up 89% w/w to $155,782 per day*

18 Aug 2026 | **ANALYSIS**

Sinokor buying spree nears 80 VLCCs valued at over $6bn as Hormuz crisis drives up values

- *South Korean shipowner Sinokor has taken delivery of 72 VLCCs since launching its secondhand acquisition programme last December*
- *At least five more vessels are understood to be awaiting handover*
- *The buying spree, valued at almost $6bn, has made Sinokor the dominant tanker buyer by far this year and has benefited big shipowners including Dynacom, Frontline and CMB.Tech*

Shipping stocks at decade highs amid geopolitical chaos and strong demand

- *Shares of Danaos, Frontline, Teekay Tankers, BW LPG, Safe Bulkers, Navios Partners and International Seaways hit highest level in a decade or more on Wednesday*
- *Shipping has outperformed S&P 500 since Hormuz crisis began, year to date, and year on year*
- *Hormuz crisis has been key upside driver for tankers and LPG, but other factors are simultaneously supporting gains for car carriers, containers and dry bulk*

20 Aug 2026 | **ANALYSIS**

Norden raises 2026 guidance as dry cargo recovery and tanker strength lifts Q2 results

- *Strong tanker markets and a turnaround in dry cargo has prompted Norden to raise its full-year net profit guidance to $140m-$190m*
- *Copenhagen-listed company expects firm markets through the remainder of 2026, but highlights uncertainty surrounding the Strait of Hormuz and global energy flows*

13 Aug 2026 | **NEWS**

Capesize bulkers boost profits for boxship owner Danaos

- *The company amasses record $4.5bn backlog as geopolitical uncertainty helps keep market 'exceptionally tight'*
- *Only shipping can absorb disruption on this scale, says chief executive John Coustas*
- *US-listed owner eyes opportunities with comfort of having mostly debt-free fleet, low leverage and $1.5bn in liquidity*

04 Aug 2026 | **NEWS**

Summary

Summary

- Undoubtedly, shipping is a volatile business.

Is it bad or good?

Bad!
Low certainty and high risk because of fluctuations



Good!
Opportunities exist because of dynamics

All depends on the understanding of the economics of shipping business and the management of it